QUIDEL THIRD QUARTER 2020
CONFERENCE CALL SCRIPT
Wednesday, October 29, 2020
2:00 p.m. PT/ 5:00 p.m. ET

FINAL

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation Third Quarter 2020 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Ruben Argueta, Quidel's Director of Investor Relations. Please go ahead.

Ruben Argueta

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our president and Chief Executive Officer, Doug Bryant, and Randy Steward, our Chief Financial Officer.

Our third quarter 2020 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on October 29th, for a period of 24 hours.

Please note that this conference call will include forward-looking statements within the meaning of Federal securities laws, including our anticipated revenues for Q4 2020. Forward-looking statements by their nature involve material risks, assumptions and uncertainties. In particular, our expectations and assumptions around the impact of the COVID-19 pandemic on our business, results of operations and financial condition and that of our suppliers, customers and other business partners are uncertain and subject to change. Many possible events or factors could affect our future financial results and performance, such that our actual results and performance may differ materially from those in the forward-looking statements. For a discussion of such factors, please review Quidel's most recent annual report on Form 10-K, including the section titled "Risk factors", registration statements and subsequent quarterly reports on Form 10-Q, as filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, October 29,

2020. Quidel undertakes no obligation to revise or update any statements to reflect events or circumstances after the date of this conference call, except as required by law.

Today, Quidel released financial results for the three and nine months ended September 30, 2020. If you have not received our news release, or if you would like to be added to the company's distribution list, please contact me at 858-646-8023.

Following Doug's comments, Randy will briefly discuss our financial results. Then, we'll open the call to take your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Thank you Ruben, and good afternoon everyone. Thank you for joining us today. I hope that you and your families are well and safe during these challenging and uncertain times. At the moment, America faces the prospect of a third wave of COVID-19 infections, as indicated by a rise in the number of daily cases, now up to 23 infections per 100,000 residents. The spread of the novel coronavirus has migrated from metropolitan centers to suburban and rural areas. The weather is getting colder, and the flu season is still looming. As we face the potential for a third wave, and another rise in infections, our company understands the need for increased testing, and continues to rise to the challenge in the fight against COVID-19 by expanding access to affordable, highly accurate diagnostic testing throughout our communities. I couldn't be more proud of our people, those deemed essential as well as those working from home, with the way that they have embodied the Quidel spirit through dedication, determination, perseverance, singular focus, quick problem-solving ability, and a team-first mentality; all of the qualities that are a bedrock of our corporate culture, and allow us to tackle a challenge like COVID-19 head-on.

We had a record quarter in terms of revenue, consistent with our pre-announcement, and a record in terms of profit for the quarter. To be efficient, I will let Randy provide more detail on revenue and margin. Here are the revenue drivers for Q3 at a high level, and what we can expect in Q4.

First, the rapid POC operations and supply chain teams in San Diego exceeded expectations. Line 2 was converted to Sofia SARS antigen production, and the nasal foam swab issue that slowed the kitting process has been resolved, which together enabled us to reach the level of 2.1 million kitted Sofia SARS Antigen tests per week. We believe that we can sustain that level of production throughout the fourth quarter. While shipments in Q3 of Sofia Influenza should have been -- and were -- lower than the prior year quarter, we have manufactured and shipped several million dollars of our Sofia Influenza tests already this quarter, as well as several million dollars of our Sofia ABC combination tests. We expect at this point to move to 80% ABC combination tests and 20% SARS Antigen tests in December. We placed approximately 5,000 Sofia 2 instruments in Q3, and expect to exit the year with about 75,000 analyzers on the ground. With recent increases in instrument production, we expect to satisfy most of the pent-up demand from the traditional laboratory segment by the middle of Q1 2021, and can then begin providing instruments more routinely to newer market segments and opportunities, which are endless. I will mention QuickVue SARS Antigen when I talk about pipeline, but we are expecting a meaningful revenue contribution from this new product in Q4 as well.

Second, the molecular operations and supply chain teams in Athens, OH were rock solid in Q3, and poised to both meet increasing demand for Lyra SARS in the fourth quarter, and to ramp up production of Solana SARS, following EUA clearance from the FDA for that new product. Third quarter revenue of Lyra SARS, driven by orders from just over 120 North American customers and a handful of international sites, was better than we had suggested, and fourth quarter Lyra SARS revenue looks to be about a third higher sequentially. We are expecting a meaningful revenue contribution from Solana SARS as well.

In terms of our ongoing COVID pipeline, we will go into some detail at our Investor Day, which is scheduled for November 12. In the meantime, here are a few high level notes. First, in Q4 we expect to launch our Sofia serology assay, another first of its kind, into a limited number of sites to do studies with the intent to demonstrate the clinical utility of a Point-of-Care fingerstick combination assay that tests for IgG antibodies to the nucleocapsid protein and to two distinct epitopes (S1 and S2) of the spike protein – in minutes. We also expect to launch QuickVue SARS, which, promisingly, has shown similar performance in terms of agreement with PCR to Sofia SARS Antigen. We are executing on a plan that should get us to a manufacturing capacity of 50 million tests per month in 2021. In terms of molecular products, we are expecting to launch Solana SARS and Lyra ABC in Q4. Initially we intend to manufacture about 1 million Solana SARS tests per month for about 700 or so existing Solana customers. Each Solana instrument can perform 12 Solana SARS assays at once in 25 minutes. The data generated by the Solana SARS isothermal molecular assay show remarkable agreement with extracted PCR. We expect that demand for a mod-complex assay with this speed and performance to be quite high.

In terms of our core business and pipeline, I will save that for our Investor Day, which should allow more time for your questions today. During our time together on November 12, a few members of our executive team and I will cover three topics. First, we will take you through what our long-range plan looked like pre-COVID, a plan that resulted in 12% compounded revenue growth over a 6-year period. I will provide an overview, then we will jump into the details. Dr. Tammi Ranalli and Dr. Johannes Kehle will bring you up-to-speed on the Savanna program. As you will see, Savanna is destined to become the next flagship product for Quidel and is expected to be a key growth driver for the company. Bill Ferenczy, who heads up our Cardiometabolic business unit, will provide an update on Triage True, our high-sensitivity Troponin assay, and Dr. Werner Kroll will talk about non-COVID Sofia product line. And I'll summarize by talking about the longer term collateral benefits of what we are doing with COVID, and how that de-risks our longer term growth plans. Next, we will provide an update on our entire COVID pipeline and will describe our expectations for those products over the next couple years. Karen Gibson will give you an update on the Sniffles program and will talk about use-cases for the product and the market segments that seem to be the best fit. And finally, we will talk about bigger and more aspirational ideas. Dr. Werner Kroll will discuss Project Leapfrog, and how this advanced technology could address many diagnostic testing needs at the point of care, or even at home. We will talk about our vision for "at-home" testing and the democratization of POC testing for many routine conditions. And Randy Steward, our CFO, will talk about our financials over the LRP and our thinking around capital deployment. It should be a great half-day, and I look forward to bringing you under the tent, so to speak.

In summary, the 1300 employees at Quidel had a great quarter, and we're poised for a great year-end and an even better 2021. I realize that some of our larger competitors dismiss us, and think that we are punching way above our weight, but this company was built for what we are doing today. We have extraordinary strategic, technical, and commercial competencies, and the ability to scale to much greater heights. And most important, we are happy.

Randy?

RANDY STEWARD

Third Quarter Financial Results

Thank you, Doug. Good afternoon everyone. As Doug stated, we had another very strong quarter that exceeded our own expectations. Our employees have truly risen to the COVID-19 challenge by delivering new products to market and continuing to expand production for newly launched COVID-19 antigen and PCR products, making a profound difference in people's lives and livelihoods. Through the dedication and hard work of our organization, we've positioned the company for a strong end to the year, and beyond.

As reported, total revenues for the third quarter of 2020 were $476.1 million dollars, as compared to $126.5 million dollars in the third quarter of 2019. The 276% increase in revenue was driven by significant growth in our Rapid Immunoassay and Molecular categories, driven by considerable demand for our COVID-19 diagnostic products. We did realize minimal declines in demand for the Cardiometabolic and Specialized Diagnostic Solutions product categories. Foreign currency had a positive impact of $0.5 million dollars in the quarter.

Rapid Immunoassay product revenues increased $294.5 million dollars to $337.0 million dollars in the third quarter of 2020. Within this category, Sofia products grew $303.2 million to $331.9 million dollars, of which $317.9 million dollars was attributed to Sofia SARS Antigen sales. QuickVue product revenues decreased $8.7 million to $4.0 million dollars. In September, we did not realize the ramp-up of distributor purchases of Influenza, Strep, and RSV heading into the Respiratory Season as we have in previous years. We intentionally prioritized our production and shipments toward the SARS antigen test. As a result, Influenza Rapid Immunoassay revenue was $7.9 million dollars, with approximately 90% of that revenue derived from the Sofia platform.

For the Cardiometabolic Immunoassay business, revenue was $64.8 million dollars, a 3% decrease versus the third quarter of 2019. More importantly, this category was up $10.6 million dollars sequentially, and we are optimistic that the Cardiometabolic category has stabilized. Of the $64.8 million dollars in Cardiometabolic revenue in the third quarter, $32.7 million dollars were derived from the Triage business, and $32.1 million dollars from the Beckman BNP business. Year-over-year, the revenue decline was realized in two of the three major geographies, however sequentially, growth was observed in these three regions, a very encouraging sign.

Revenue in the Specialized Diagnostic Solutions category decreased 10%, or 1.2 million dollars, in the third quarter to $11.2 million dollars, mostly driven by a decline in our respiratory products from our cell culture business.

Our Molecular Diagnostic Solutions category increased $58.3 million dollars in the quarter to $63.0 million dollars, driven by $57.8 million dollars in sales of our Lyra and Lyra Direct SARS-CoV-2 products. Despite these being gap-filling products in the sense that these reagents have no proprietary instrument and are used as a second or third option, we are seeing good growth from these products, and believe that we can continue to see added growth as more small and mid-sized labs continue to bring PCR testing in-house.

In the quarter, total Influenza revenue, which includes Rapid Immunoassay, DHI Respiratory and Molecular Diagnostics, decreased by 69% in the quarter to $9.0 million dollars.

Gross Profit in the third quarter of 2020 increased $307.8 million dollars to $383.6 million dollars, and gross profit margin was 81%. This improvement was driven by the demand for the SARS-CoV-2 assays, which drove improved product mix. In addition, higher volumes contributed to increased manufacturing overhead absorption.

In the third quarter, as in the second quarter, we realized a significant improvement in our profitability profile because, over the short term, we do not incur material variable operating cost increases. In the third quarter, our total operating expenses measured as a percent of revenue declined by 28 percentage points versus last year and sequentially declined by 16 percentage points to 16% percent of revenues, helping improve our operating income in the quarter to 65% of revenues. We see this trend continuing into the fourth quarter, as well.

We continue to invest in R&D, with the goal of launching additional COVID-19 diagnostic assays, advancing on our Savanna initiatives, as well as introducing new Sofia assays and next generation platforms, such as our internally named project Sniffles. We will also continue to invest in our S&M organization as we expand training in new markets such as nursing homes and occupational health, and significantly broadening our customer base. For the full year, we are currently estimating our R&D spend to be in the range of $80-$85 million dollars. Our G&A spend for the full year should be in the range of $65-$70 million dollars.

In the quarter, we recorded a $10.4 million dollar loss on extinguishment of debt. This was the result of retiring in cash $5.9 million dollars in principal of our Convertible Notes. The current principal outstanding balance on the Convertible Notes is $6.8 million dollars.

As it relates to the provision for income taxes, we recorded $63.5 million in income tax provision in the quarter, and the effective tax rate was 21%. The Federal statutory rate is 21%. All items adjusting our rate had an insignificant impact including discrete tax benefits from excess stock-based compensation. We are currently estimating a full year effective tax rate between 21% and 22%. This rate is approximately 2 percentage points higher than previous estimates due to the increase in pre-tax income versus prior years.

We successfully completed our contract with the NIH in support of increasing our manufacturing capacity this quarter. The total contract value is for up to $65 million dollars. The contract has a performance period of one year beginning July 2020 with key deliverables and milestones that would directly support the addition of new immunoassay manufacturing lines as well as outfitting a new distribution center. As part of the agreement, the company will provide to the NIH Sofia 2 instruments and COVID-19 assays.

As of the end of September, we had $77.5 million in cash and cash equivalents. During the third quarter, the company generated $70.5 million in cash flow from operations. This number would have been larger had it not been for the approximately $244 million dollar investment in Accounts Receivable and Inventory as we accelerate our growth to support increased production of SARS assays. In the quarter, the company also invested $22.7 million in capital expenditures.

At the end of the current fiscal year, we anticipate having in excess of $500 million dollars in cash on the balance sheet, no convertible debt outstanding, and no outstanding balance on our $175 million-dollar

Revolving Credit Facility. In short, we have a very strong capital structure, access to credit, and good cash flow, which places us in a great position to support our future initiatives. Those initiatives include increasing our R&D investment, strengthening and expanding our supply chain, aggressively ramping up our manufacturing capacity, and pursuing M&A.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. We had an excellent third quarter, and we're in good shape to achieve our growth objectives over the next few years. Thanks again for being on the call.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.